Nova

NVMI | NASDAQ | 2026-10-11

Q4 2027 model ceiling: USD 354.00

Analytical Base 43/60 = 72 | Growth; re-rating is not required by the thesis

20x fully expensed forward-four-quarter operating profit, adjusted for cash and debt, with matched convertible settlement and end-window diluted shares. Cash and claims use the dated verified balance rather than future cash accumulation. Conversion is a conservative intrinsic dilution bound, not a claim that an early-conversion trigger or issuer settlement election has already occurred. Workbook probability controls hold active claims and shares fixed; any adopted revision requires resolving conversion and liquidity again.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 353.00 per share (2026-10-09 16:00 America/New_York regular close); 31.783 million common shares (2026-02-05); estimated equity capitalization USD 11,219.4 million. NASDAQ ordinary share, not an ADR. Latest verified point-in-time common count from the annual report is February 5; June basic weighted average 31.800m is corroboration, not a current common count. Valuation includes a separate award reserve and subsequent dilution. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: 100% growth under the owner's sequential-percentage heuristic (0% re-rating / 100% growth). Uses the dated 2026-10-09 16:00 America/New_York regular close price, Q4 2026 ceiling and Q4 2027 ceiling at the artifact's own valuation basis. This compares two percentage moves with different denominators; it is not an additive return attribution or a measurement of actual P/E expansion. The classification changes with price and forecasts.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	542.3	20x	34.883	354.00

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated Nova, including ancosys and Sentronics; front-end products and packaging are mutually exclusive model buckets, followed by separate service revenue.. 20x fully expensed forward-four-quarter operating profit, adjusted for cash and debt, with matched convertible settlement and end-window diluted shares. Cash and claims use the dated verified balance rather than future cash accumulation. Conversion is a conservative intrinsic dilution bound, not a claim that an early-conversion trigger or issuer settlement election has already occurred. Workbook probability controls hold active claims and shares fixed; any adopted revision requires resolving conversion and liquidity again.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Thesis

Research cut-off: October 11, 2026. NASDAQ ordinary share NVMI, USD. This is research coverage, not a statement that the portfolio holds the company. The October 9 regular-session close was $353. The active Q4 2027 ceiling is about $354 at 20 times fully expensed forward-four-quarter operating profit. That is roughly 1.0 times the quoted price: excellent technology does not automatically mean substantial remaining upside.

The analytical Base is 72, derived from 43 of 60 framework points. Nova is fundamentally a growth story. Its opportunity is to sell more measurements and newer applications as manufacturing becomes harder. The website's specified sequential-percentage calculation classifies the small positive modeled upside as 100% Growth because the first displayed Q4 2026 target is below today's price. That label describes the path of these targets, not proof that the market's actual P/E is constant. A small price move could make the positive-upside split unavailable.

What gets measured

Nova sells dimensional, materials and chemical metrology. Dimensional tools measure shapes, thickness, topography and other physical geometry. Materials tools examine composition, strain and related properties. Chemical tools monitor the process liquids that deposit or remove material. These are different questions from simply finding a visible defect on a wafer. A structure can look acceptable while its composition or stress is wrong.

The important economic link is the customer's cost of losing good dies. More layers and more demanding interfaces can create measurement steps and justify better instruments. However, a new measurement is not automatically another machine. Sampling plans, speed, integrated sensors, software and reuse of installed equipment all affect how much hardware the customer needs. The model therefore uses company revenue and accepted applications, not a direct percentage of semiconductor or AI spending.

Nova's February 2026 presentation, page 8, maps the measurements to logic, memory and packaging. It is a technical explanation, not October order guidance. The advanced-packaging items include warpage, surfaces, redistribution layers and chemistry. These functions matter when thinner dies and smaller connections reduce process tolerances.

The qualification barrier is more than a specification sheet. A production customer needs repeatability, correlation with its established process, acceptable throughput, data integration and field support. A qualified incumbent has an advantage, but customers can qualify alternatives. KLA, Onto and specialist competitors are credible; Chinese suppliers are improving. Nova must keep funding engineering to preserve its position. The model retains that expense.



Nova | February 2026 company presentation, page 8: dimensional, materials and chemical applications in logic, memory and packaging. Application availability is not a booked order.

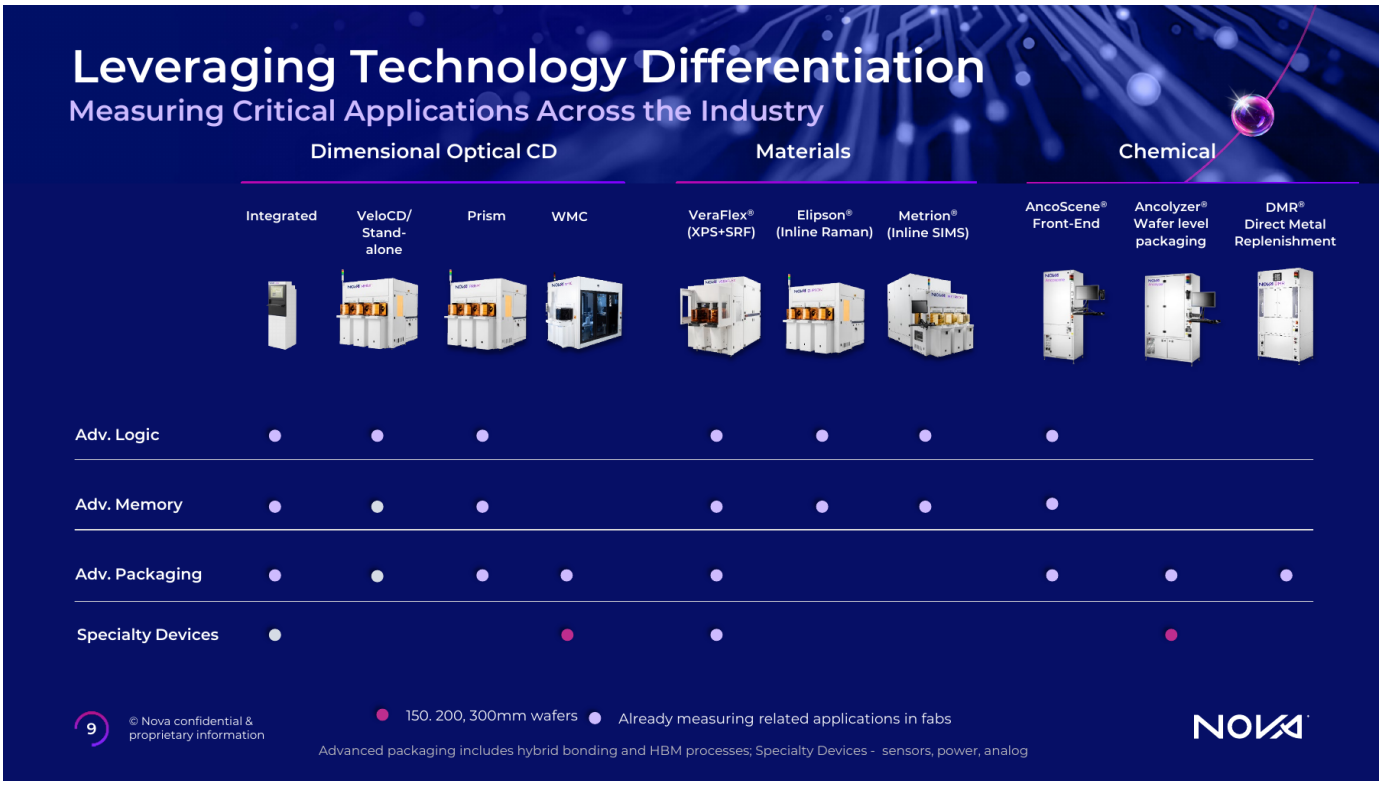
Qualified products and new applications

VeraFlex uses X-ray measurements; Metrion moves secondary-ion mass spectrometry into production workflows; Elipson applies Raman techniques. Optical products and the WMC platform serve dimensional and packaging applications. Chemical systems from ancosys broaden the portfolio. Sentronics is already consolidated, so its acquired revenue is not added again as an independent acquisition branch.

The February product matrix is useful for understanding which instruments could address an application. September management comments are more conservative about the revenue stage of packaging materials metrology: customer discussions were early, while existing packaging sales were mainly optical and chemical. A product appearing beside an application is not evidence of a large production contract.

The latest two earnings calls, May 14 and August 6, support rising adoption and repeat business in advanced logic and DRAM. Management also described more materials applications per customer. The relevant forward evidence is qualified use expanding into additional steps. It is stronger than an undifferentiated semiconductor-market forecast, but neither call supplied the incremental tool counts, ASPs or application-level gross margins needed for a deterministic forecast.

The September 8 CFO discussion provides important counter-evidence. Industry spending mix matters: existing-node capacity and DRAM spending do not create the same measurement intensity as a new logic architecture. NAND upgrades have not produced the same opportunity as new capacity. Hybrid-bonding work is mainly qualification rather than a major 2027 volume contribution. These distinctions keep the model from assigning every packaging and memory dollar the highest-intensity outcome.



Nova | February 2026 presentation, page 9: product families and relevant applications. September management commentary clarifies that materials-metrology packaging revenue remains an emerging opportunity.

Actual earnings and the expense bridge

Q1 2026 revenue was $235.308 million, with $135.688 million gross profit and $70.836 million operating profit. Q2 revenue was $254.958 million, with $144.161 million gross profit and $76.185 million operating profit. H1 revenue was $490.266 million and operating profit $147.021 million. These are reported GAAP figures, not adjusted net-income proxies.

The August release separates Q2 product revenue of $201.472 million from services of $53.486 million. The roughly 25% advanced-packaging contribution discussed on the earnings call refers to products, not the whole company. Similarly, logic and memory percentages describe product end markets. Packaging overlaps those classifications in company commentary. The model creates mutually exclusive front-end logic, front-end memory, packaging and service buckets; it never sums packaging on top of a full logic-plus-memory total.

Q3 remains guidance at this research date. Revenue guidance is $277-287 million. At the $282 million midpoint, 57% GAAP gross margin and $74 million operating costs imply $86.740 million operating profit. The product allocation within that total is an assumption. Q4 is an analytical forecast of $310 million sales and $98.265 million operating profit, not a released result.

Research, sales, administration, normal rent, stock compensation and acquired-intangible amortization remain expenses. The Q2 statement's $12.920 million financing income is excluded from operating profit; capitalizing it and then crediting the same cash would count the asset twice. Tax is considered in the funding analysis, while the selected valuation basis remains operating profit as required by the framework.

NOVA LTD.
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS
(U.S. dollars in thousands, except per share data) - (Unaudited)

	Three months ended June 30,		Six months ended June 30,	
	2026	**2025**	**2026**	**2025**
Revenues:				
Products	201,472	177,829	387,735	351,771
Services	53,486	42,160	102,531	81,574
Total revenues	254,958	219,989	490,266	433,345
Total cost of revenues	110,797	92,743	210,417	183,796
Gross profit	144,161	127,246	279,849	249,549
Operating expenses:				
Research and development, net	39,257	35,446	76,340	68,680
Sales and marketing	21,333	19,861	41,597	39,649
General and administrative	7,386	6,296	14,891	12,345
Total operating expenses	67,976	61,603	132,828	120,674
Operating income	76,185	65,643	147,021	128,875
Financing income, net	12,920	15,177	25,968	28,114
Income before taxes on income	89,105	80,820	172,989	156,989
Income tax expenses	14,095	12,529	28,720	23,875
Net income for the period	75,010	68,291	144,269	133,114
Earnings per share:				
Basic	2.36	2.32	4.54	4.54
Diluted	2.20	2.14	4.24	4.17
Shares used in calculation of earnings per share (in thousands):				
Basic	31,800	29,422	31,810	29,315
Diluted	34,450	32,053	34,460	32,030

Nova | August 6, 2026 results, page 6: quarterly products $201.472m, services $53.486m, GAAP operating profit $76.185m. Product end-market percentages must not be applied to total revenue.

Operating path and its capacity requirements

The unweighted reference has $1.380 billion revenue in 2027, $1.750 billion in 2028, $2.100 billion in 2029 and $2.450 billion in 2030. The 2027 split is $600 million front-end logic and other non-memory products, $220 million front-end memory, $310 million packaging products and $250 million services. Packaging is excluded from both front-end categories.

The reference is already a strong growth case. Q4 2026 revenue annualizes to $1.240 billion; the following year's reference is approximately 11% higher, with progressively stronger quarterly shipments. Later annual growth reflects more capacity, additional applications and the installed service base. It is not a forecast that every supplier will double its spending on Nova. The $1 billion management target shown in the February presentation was a previous strategic plan, and its run rate was reached early. Management planned a new strategy presentation in early 2027; this model is not that unpublished plan.

Reference product gross margins are explicitly assumed around 58-61%, with services at 47% in 2027. The service assumption is lower because local staffing and support infrastructure remain expensive. Later margin improvement is small and accompanied by higher operating costs: $360 million in 2027, $440 million in 2028,

$515 million in 2029 and $600 million in 2030. Forecast operating leverage therefore comes primarily from revenue growth, not deleting research and support costs.

Nova is enlarging production infrastructure in the US and Germany and preparing an Asian cleanroom. The reported US expansion is not a doubling of all Nova's global saleable capacity. Factory space must be matched by qualified components, test capacity, engineers and customer acceptance. Lead times vary by product, roughly four to twelve months. Earlier customer forecasts help procurement but are not equivalent to binding backlog or advance cash.

The quarterly forecast uses 22%, 24%, 26% and 28% calendar-year revenue weights. It is a transparent delivery convention, not a claim that every product has identical seasonality. Recognition remains dependent on shipment and the applicable customer acceptance conditions. Material shifts in those conditions should change timing rather than create fictitious new demand.

Probability-weighted forward evidence

Five separate branches sit above the reference. All values below are conditional before their stated probability. The 2026 guide calibration receives none of these later-year increments.

- Additional materials applications: 50% probability. Gross sales opportunities of $80/140/180/220 million in 2027-30 are reduced by 50% for overlap with reference growth and existing qualifications. The retained revenue earns 63% gross margin and incurs 18% incremental engineering and field costs, leaving 45% operating contribution. A 2027 gross range of $40-120 million and probability of 30-65% reflect the missing application-level disclosure. - Packaging materials and hybrid-bonding qualifications: 35% probability. Gross opportunities of $5/35/70/100 million are reduced by 50% for optical, chemical and timing overlap. A 62% gross margin less 20% operating costs leaves 42% contribution. The small 2027 value respects management's distinction between qualifications and later volume. The 2028 gross range is $15-60 million. - NAND greenfield: 35% probability. Gross additional sales of $40/80/110/140 million receive a 50% overlap reserve against existing memory growth. A 60% gross margin less 18% operating costs leaves 42%. This is a bounded capacity-return case, not a claim that current NAND upgrades help Nova. The first-year gross range is zero to $80 million, with 15-55% probability bounds. - Value of new products: 35% probability. A 3% premium applies to 20% of eligible product revenue, including weighted incremental volume. Half is removed for mix already in the reference. Component and support costs leave 65% operating contribution. The premium range is zero to 5%, eligibility 10-30%, and probability 20-50%. Existing fixed-price orders are excluded. September remarks support better pricing for better capability while explicitly leaving ordinary customer terms unchanged. - China and customer acceptance: 25% probability of an 8% loss or deferral in reference product sales. Removing 60% gross profit and saving 12% variable operating cost produces a 48% negative contribution. It is one combined export, competition and acceptance-risk branch. The same demand is not removed again through a second macro adjustment.

The first three branches are not three independent guesses at the whole market. They identify additional applications, later packaging materials qualifications and new NAND capacity. The pricing branch is evaluated on the appropriate incremental volume in the funding stresses. A simultaneous success case does not keep pricing attached to probability-weighted volume; it re-evaluates the volume coherently.

The resulting probability-weighted revenue is $1.386 billion in 2027, $1.778 billion in 2028, $2.143 billion in 2029 and $2.508 billion in 2030. Operating profit is $433.134 million, $588.090 million, $736.353 million and $863.797 million respectively. The relatively modest first-year net increment is intentional: existing growth already captures much of the favorable evidence and the adverse branch remains active.

Matched debt and share claims

June cash, bank deposits and marketable securities total $1,706.470 million. The separate $11.747 million combined bank/restricted-deposit line is excluded until its unrestricted portion is verified. The valuation retains a $200 million operating-cash reserve and a labeled $4 million severance reserve. The latter is conservatively above the December net obligation of $2.720 million and the subsequent accrual evidence; it should be replaced when a current detailed note is available.

The $69.910 million June operating-lease liability is not subtracted again because full rent remains in costs. It is a liquidity commitment, not an extra deduction on top of the same expensed rent. No finance-lease claim was identified in the reviewed notes.

The 2030 notes have $750 million principal, zero coupon and a September 15, 2030 maturity. The conversion rate is 3.1234 ordinary shares per $1,000, equivalent to about $320.16 per share and 2.34255 million underlying shares. Nova can deliver cash, shares or a combination. The June balance sheet's current classification does not move contractual maturity to 2026. It reflects the note's potential conversion conditions.

The model compares matched states for every valuation window. Below the conversion strike, it retains $750 million debt and no note shares. Above the strike, it uses the lower intrinsic all-share outcome, removing that debt and adding the underlying shares. A consistently solved cash-principal plus premium-share outcome produces the same intrinsic ceiling above the strike. It would be wrong to deduct all the debt while also adding all the note shares.

The $415.03 capped-call cap is disclosed but receives zero valuation credit. The hedge is a separate contract with settlement and counterparty considerations, not permission to erase note dilution. The old 2025 notes were already converted; neither their principal nor their shares are added again.

The verified February 5 common count is 31.782972 million. June weighted averages corroborate the scale but do not supply an October register. Valuation adds a 0.30745 million award reserve, informed by the difference between June diluted shares, basic shares and contractual note shares, then 0.05 million shares per quarter for future dilution. The authorized $200 million repurchase program is not treated as an executed reduction in shares or cash.

For the active Q4 2027 window, end-window shares are 32.540422 million before notes and 34.882972 million in the selected converted case. The debt-state ceiling is $356.434, while the matched converted ceiling is $353.998. Net claims in the latter state are negative $1,502.470 million. This is a cash credit after reserves, not negative gross debt. Future operating cash is not accumulated into target value on top of the operating-profit multiple.



NOVA LTD.
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(U.S. dollars in thousands, except share and per share data)

NOTE 11 - CONVERTIBLE SENIOR NOTES, NET (Cont.)

During 2025, a principal amount of $181,495 Convertible Notes was converted into 2,432,803 Company's ordinary shares at a conversion rate of 13.4048 and a cash payment of $7.

The net carrying amount of the liability is represented by the face amount of the notes, less total issuance costs, plus any amortization of issuance costs.

The net carrying amount of the 2025 Convertible Notes as of December 31, 2025 and December 31, 2024 are as follows:

	As of December 31,	
	2025	2024
Principal amount	-	181,495
Unamortized issuance costs	-	(931)
Net carrying amount	-	180,564

Total issuance costs upon issuance were $6,412 and are amortized to interest expense using the effective interest rate method over the contractual term of the notes. Amortization of debt issuance costs related to the Convertible Notes amounted to $765, $1,280 and $1,284 for the years ended December 31, 2025, 2024 and 2023 , respectively.

2030 Convertible notes

In September 2025, the Company issued $750,000 aggregate principal amount, 0% coupon rate of Convertible Senior Notes due 2030 (the "2030 Convertible Notes"). The 2030 Convertible Notes mature on September 15, 2030, unless earlier repurchased or converted. The Company used a portion of the net proceeds from this offering to fund the cost of entering into the capped call transactions, described below.

The Convertible Notes are convertible based upon an initial conversion rate of 3.1234 of the Company's ordinary shares per $1,000 principal amount of Convertible Notes (equivalent to a conversion price of approximately $320.16 per ordinary share). The conversion rate is subject to adjustment upon the occurrence of certain specified events. The Convertible Notes are senior unsecured obligations of the Company.

The Convertible Notes will mature on September 15, 2030, (the "Maturity Date"), unless earlier repurchased, redeemed or converted. Consequently, as of December 31, 2025, the Notes are classified as non-current liability. Prior to June 15, 2030, a holder may convert all or a portion of its Convertible Notes only under the following circumstances:

1. During any calendar quarter commencing after the calendar quarter ending on December 31, 2025 (and only during such calendar quarter), if the last reported sale price of the Company's ordinary shares for at least 20 trading days (whether or not consecutive) during a period of 30 consecutive trading days ending on, and including, the last trading day of the immediately preceding calendar quarter is greater than or equal to 130% of the conversion price on each applicable trading day;
2. During the five business day period after any 10 consecutive trading day period ("measurement period") in which the trading price, determined pursuant to the terms of the Convertible Notes, per $1,000 principal amount of Convertible Notes for each trading day of the measurement period was less than 98% of the product of the last reported sale price of the ordinary shares and the conversion rate on each such trading day;
3. If the Company calls such Convertible Notes for redemption in certain circumstances, at any time prior to the close of business on the second scheduled trading day immediately preceding the redemption date; or
4. Upon the occurrence of specified corporate events.

On or after June 15, 2030 until the close of business on the second scheduled trading day immediately preceding the Maturity Date, a holder may convert its 2030 Convertible Notes at any time, regardless of the foregoing circumstances.

Upon conversion, the Company can pay or deliver cash, ordinary shares or a combination of cash and ordinary shares, at the Company's election.

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Nova | 2025 annual report, PDF page 156 / F-28: $750m zero-coupon 2030 notes, 3.1234 shares per $1,000 and issuer settlement choice. The older 2025 notes were already converted.

Funding, stress and what changes the conclusion

All 32 binary combinations of the five operating branches are tested. The cash test first reserves the full $750 million note principal and $4 million severance amount, then starts with $952.470 million liquid funds. It applies 20% cash tax on positive operating profit, a 35% working-capital requirement on sequential revenue growth, depreciation/amortization add-back and quarterly capex of $15 million initially and $20 million from 2028. Stock compensation is not added back in this conservative funding test. Rent remains expensed. No future equity issuance, acquisitions, buybacks or refinancing is assumed.

The lowest cash position in those states is the initial reserved amount and there is no shortfall against the $200 million operating reserve. Reserving principal up front is more severe for liquidity than the selected share-settlement valuation. It does not justify counting both principal and conversion shares in the same equity-value calculation. These are funding sufficiency checks, not a claim that the model has enumerated every geopolitical shock.

The investment question is whether additional qualified measurement applications can raise earnings faster than the current price already assumes. At $353, this model offers very little Q4 2027 valuation cushion despite

substantial growth. A higher multiple would raise the target, but changing a valuation assumption is different from proving more revenue. The selected multiple remains 20 times throughout.

The next evidence to monitor is Q3 accepted revenue and GAAP margins, repeat materials-platform orders, construction and supplier readiness, the early-2027 strategy update and measurable NAND greenfield demand. A larger packaging opportunity should arrive with qualification and delivery evidence. A deterioration in China, a shift toward lower-intensity capacity or slower acceptance would reduce the path. The technical thesis can remain sound while the stock delivers little return from a demanding starting valuation.

Remaining evidence gaps

The most important missing items are exact current common shares, product-level unit/ASP data, a quantitative backlog split, current severance detail, pricing by product generation and timing of high-volume packaging materials applications. The model uses bounded proxies where the financial bridge can be made explicit. It does not assign zero merely because official confirmation is missing, and it does not turn management's qualitative optimism into a booked contract.

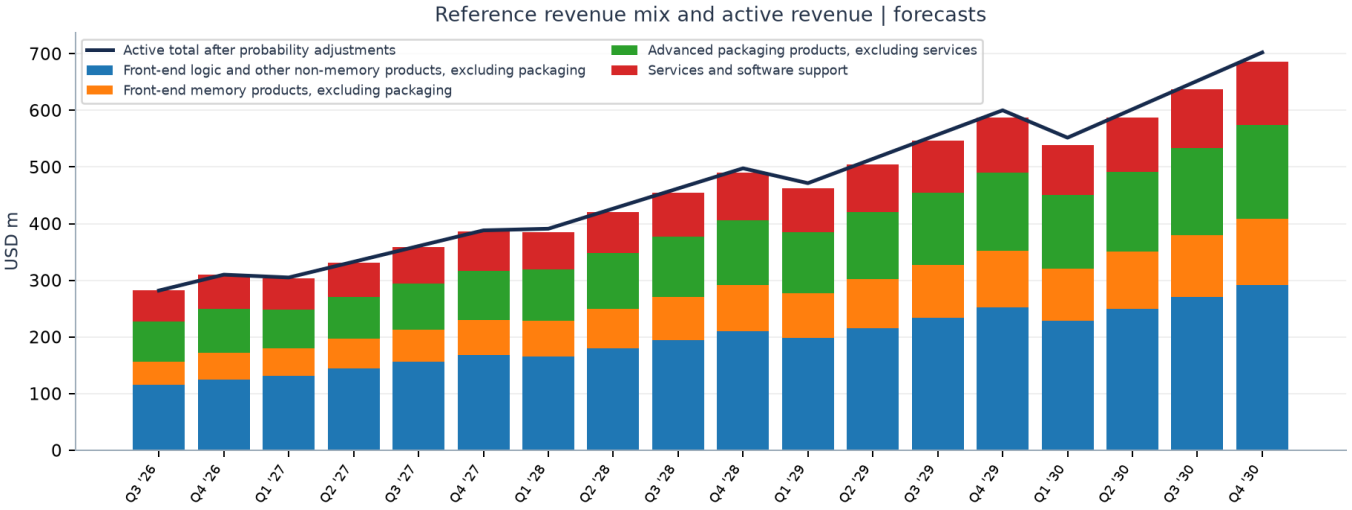
The February source deck is retained for engineering context. It is not presented as the latest financial outlook. The May and August releases and calls, September CFO remarks and annual debt notes control the relevant updates. The accompanying model, evidence record, source manifest and financing/funding files contain the precise values behind the rounded narrative.

Root review recalculated new-product pricing only on eligible accepted units and resolved each note-settlement state again. The exact active ceiling is $353.99843733. The pre-maturity 130% stock-price trigger is distinct from the intrinsic conversion strike: this model reserves potential dilution conservatively; it does not predict an immediate conversion. A joint stress removes every positive branch, applies the full 8% reference-product risk and an additional 20% sales-cycle reduction at 50% decremental OP margin. Its matched target is $224.44413290 and minimum cash is $952.470m after reserving the entire $750m principal. This is a stress scenario, not a guaranteed floor.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Complementary optical, materials and chemical measurements embedded in qualified customer processes.
Cycle	9	Advanced logic and DRAM capacity support current orders, but NAND upgrades have not translated into Nova capacity demand.
TAM	8	New materials, tighter dimensions and package interfaces add measurement applications; throughput also reduces tools per step.
Catalysts	4	Q3 results, Asian manufacturing start-up, 2027 strategic plan and accepted repeat orders for newer materials platforms.
Macro	7	AI investment benefits customers; Israel, China and export controls create meaningful concentration risks.
Alpha	3	Separating advanced packaging from product end-market classifications and debt from conversion shares avoids common overstatement.
Risk classes	-5	Five deductions for qualification and customer timing, concentrated customers, Chinese competition, production geography and convertible/capital-allocation uncertainty.
Total	43/60	Rounded Base 72. Both artifact and new workbook row use this score; this is not a manual override.

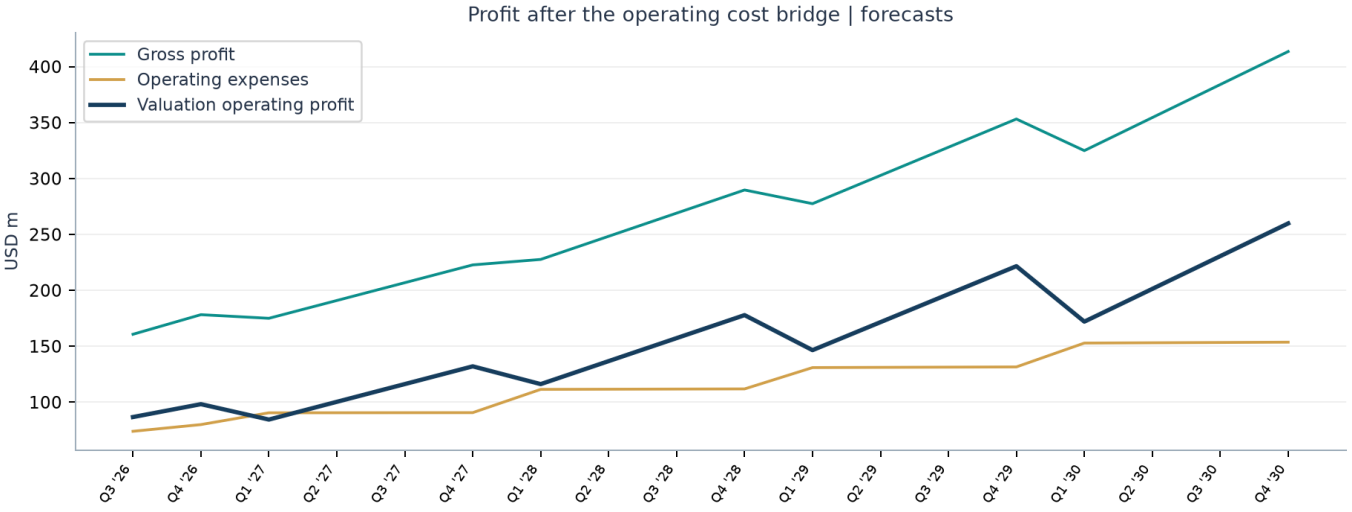
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	282.0	0.0	282.0
Q4 2026	310.0	0.0	310.0
Q1 2027	303.6	1.4	305.0
Q2 2027	331.2	1.6	332.8
Q3 2027	358.8	1.7	360.5
Q4 2027	386.4	1.8	388.2
Q1 2028	385.0	6.1	391.1
Q2 2028	420.0	6.6	426.6
Q3 2028	455.0	7.2	462.2
Q4 2028	490.0	7.7	497.7
Q1 2029	462.0	9.5	471.5
Q2 2029	504.0	10.4	514.4
Q3 2029	546.0	11.3	557.3
Q4 2029	588.0	12.1	600.1
Q1 2030	539.0	12.8	551.8
Q2 2030	588.0	14.0	602.0
Q3 2030	637.0	15.1	652.1
Q4 2030	686.0	16.3	702.3

Gross profit, operating expenses and earnings

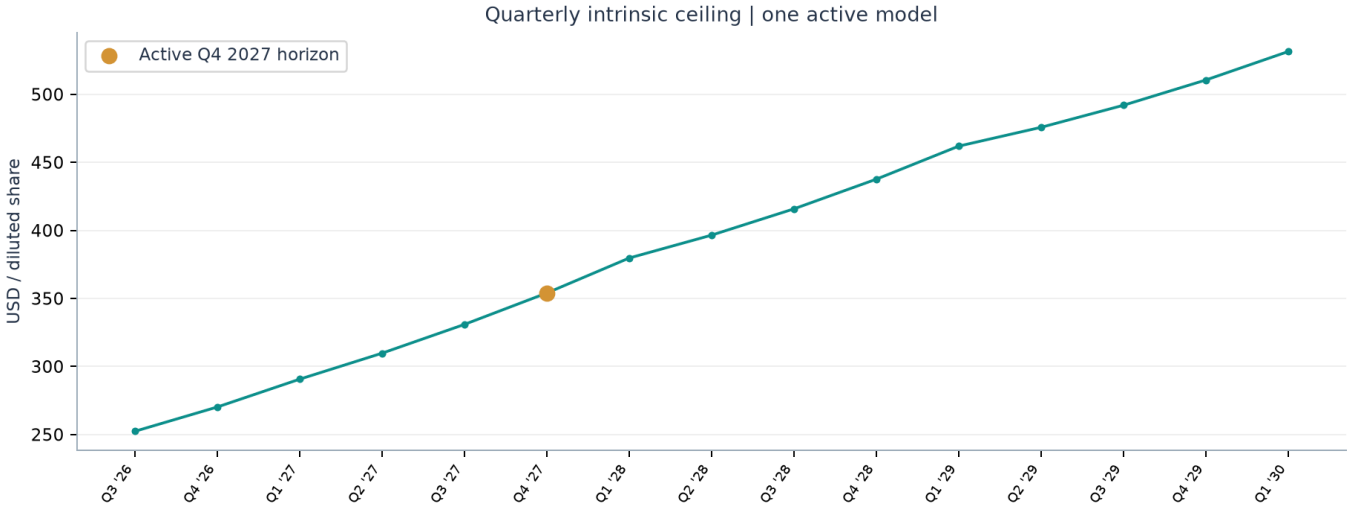


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Q3 2026 guidance midpoint: $282m revenue, 57% GAAP GM and $74m GAAP operating costs; product allocation is assumed	282.0	160.7	74.0	86.7	30.8%
Q4 2026 / Q4 2026 forecast; unreported as of October 11	310.0	178.3	80.0	98.3	31.7%
Q1 2027 / Analytical forecast; not company guidance	305.0	175.0	90.5	84.5	27.7%
Q2 2027 / Analytical forecast; not company guidance	332.8	190.9	90.6	100.4	30.2%
Q3 2027 / Analytical forecast; not company guidance	360.5	206.8	90.6	116.2	32.2%
Q4 2027 / Analytical forecast; not company guidance	388.2	222.8	90.7	132.1	34.0%
Q1 2028 / Analytical forecast; not company guidance	391.1	227.7	111.5	116.2	29.7%
Q2 2028 / Analytical forecast; not company guidance	426.6	248.4	111.6	136.7	32.1%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2028 / Analytical forecast; not company guidance	462.2	269.1	111.7	157.3	34.0%
Q4 2028 / Analytical forecast; not company guidance	497.7	289.7	111.9	177.9	35.7%
Q1 2029 / Analytical forecast; not company guidance	471.5	277.5	131.0	146.5	31.1%
Q2 2029 / Analytical forecast; not company guidance	514.4	302.7	131.2	171.6	33.4%
Q3 2029 / Analytical forecast; not company guidance	557.3	328.0	131.4	196.6	35.3%
Q4 2029 / Analytical forecast; not company guidance	600.1	353.2	131.6	221.6	36.9%
Q1 2030 / Analytical forecast; not company guidance	551.8	324.9	152.9	172.0	31.2%
Q2 2030 / Analytical forecast; not company guidance	602.0	354.5	153.1	201.3	33.4%
Q3 2030 / Analytical forecast; not company guidance	652.1	384.0	153.4	230.6	35.4%
Q4 2030 / Analytical forecast; not company guidance	702.3	413.5	153.7	259.9	37.0%

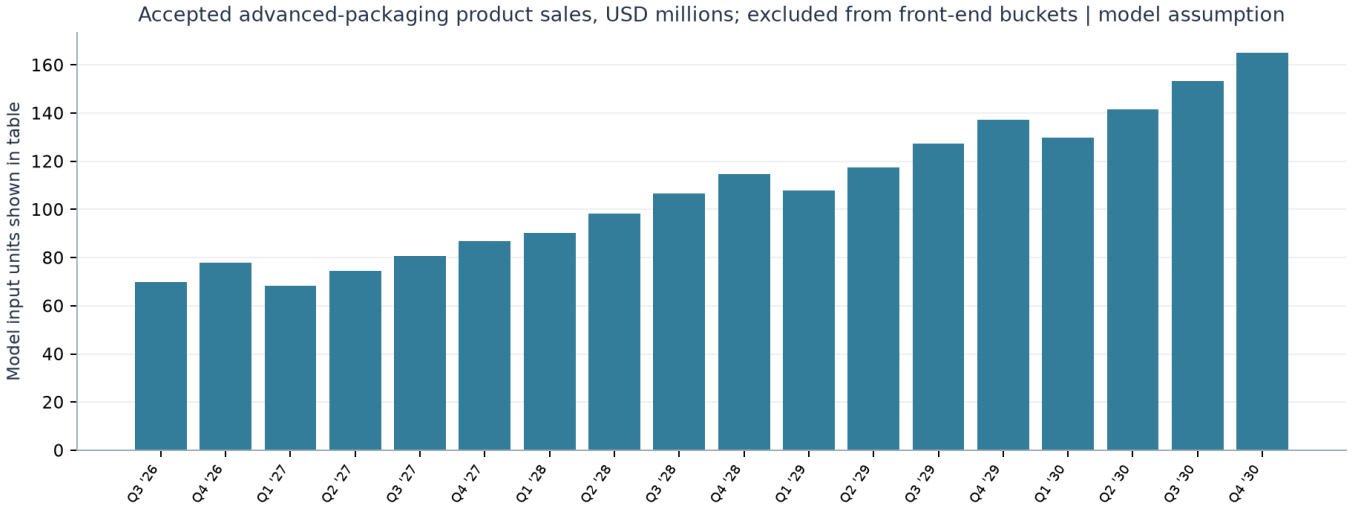
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	369.8	20x	32.290	252.38
Q4 2026	Q4 2026 to Q3 2027	399.3	20x	32.340	270.22
Q1 2027	Q1 2027 to Q4 2027	433.1	20x	32.390	290.68
Q2 2027	Q2 2027 to Q1 2028	464.8	20x	32.440	309.77
Q3 2027	Q3 2027 to Q2 2028	501.2	20x	34.833	330.91
Q4 2027	Q4 2027 to Q3 2028	542.3	20x	34.883	354.00
Q1 2028	Q1 2028 to Q4 2028	588.1	20x	34.933	379.71
Q2 2028	Q2 2028 to Q1 2029	618.5	20x	34.983	396.53
Q3 2028	Q3 2028 to Q2 2029	653.3	20x	35.033	415.85
Q4 2028	Q4 2028 to Q3 2029	692.6	20x	35.083	437.66
Q1 2029	Q1 2029 to Q4 2029	736.4	20x	35.133	461.95
Q2 2029	Q2 2029 to Q1 2030	761.8	20x	35.183	475.78
Q3 2029	Q3 2029 to Q2 2030	791.6	20x	35.233	491.98
Q4 2029	Q4 2029 to Q3 2030	825.6	20x	35.283	510.55
Q1 2030	Q1 2030 to Q4 2030	863.8	20x	35.333	531.47

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Accepted advanced-packaging product sales, USD millions; excluded from front-end buckets	Status
Q3 2026	70.000	Q3 2026 guidance midpoint: $282m revenue, 57% GAAP GM and $74m GAAP operating costs; product allocation is assumed
Q4 2026	78.000	Q4 2026 forecast; unreported as of October 11
Q1 2027	68.200	Analytical forecast; not company guidance
Q2 2027	74.400	Analytical forecast; not company guidance
Q3 2027	80.600	Analytical forecast; not company guidance
Q4 2027	86.800	Analytical forecast; not company guidance
Q1 2028	90.200	Analytical forecast; not company guidance
Q2 2028	98.400	Analytical forecast; not company guidance
Q3 2028	106.600	Analytical forecast; not company guidance
Q4 2028	114.800	Analytical forecast; not company guidance
Q1 2029	107.800	Analytical forecast; not company guidance
Q2 2029	117.600	Analytical forecast; not company guidance
Q3 2029	127.400	Analytical forecast; not company guidance
Q4 2029	137.200	Analytical forecast; not company guidance
Q1 2030	129.800	Analytical forecast; not company guidance
Q2 2030	141.600	Analytical forecast; not company guidance
Q3 2030	153.400	Analytical forecast; not company guidance
Q4 2030	165.200	Analytical forecast; not company guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Front-end logic and other non-memory products, excluding packaging	115.0	61.0%	70.1
Q3 2026	Front-end memory products, excluding packaging	42.0	58.0%	24.4
Q3 2026	Advanced packaging products, excluding services	70.0	59.0%	41.3
Q3 2026	Services and software support	55.0	45.3%	24.9
Q4 2026	Front-end logic and other non-memory products, excluding packaging	125.0	61.5%	76.9
Q4 2026	Front-end memory products, excluding packaging	47.0	58.0%	27.3
Q4 2026	Advanced packaging products, excluding services	78.0	58.5%	45.6
Q4 2026	Services and software support	60.0	47.5%	28.5
Q1 2027	Front-end logic and other non-memory products, excluding packaging	132.0	61.0%	80.5
Q1 2027	Front-end memory products, excluding packaging	48.4	58.0%	28.1
Q1 2027	Advanced packaging products, excluding services	68.2	58.0%	39.6
Q1 2027	Services and software support	55.0	47.0%	25.8
Q2 2027	Front-end logic and other non-memory products, excluding packaging	144.0	61.0%	87.8
Q2 2027	Front-end memory products, excluding packaging	52.8	58.0%	30.6
Q2 2027	Advanced packaging products, excluding services	74.4	58.0%	43.2
Q2 2027	Services and software support	60.0	47.0%	28.2
Q3 2027	Front-end logic and other non-memory products, excluding packaging	156.0	61.0%	95.2
Q3 2027	Front-end memory products, excluding packaging	57.2	58.0%	33.2
Q3 2027	Advanced packaging products, excluding services	80.6	58.0%	46.7
Q3 2027	Services and software support	65.0	47.0%	30.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2027	Front-end logic and other non-memory products, excluding packaging	168.0	61.0%	102.5
Q4 2027	Front-end memory products, excluding packaging	61.6	58.0%	35.7
Q4 2027	Advanced packaging products, excluding services	86.8	58.0%	50.3
Q4 2027	Services and software support	70.0	47.0%	32.9
Q1 2028	Front-end logic and other non-memory products, excluding packaging	165.0	61.5%	101.5
Q1 2028	Front-end memory products, excluding packaging	63.8	58.5%	37.3
Q1 2028	Advanced packaging products, excluding services	90.2	59.0%	53.2
Q1 2028	Services and software support	66.0	48.0%	31.7
Q2 2028	Front-end logic and other non-memory products, excluding packaging	180.0	61.5%	110.7
Q2 2028	Front-end memory products, excluding packaging	69.6	58.5%	40.7
Q2 2028	Advanced packaging products, excluding services	98.4	59.0%	58.1
Q2 2028	Services and software support	72.0	48.0%	34.6
Q3 2028	Front-end logic and other non-memory products, excluding packaging	195.0	61.5%	119.9
Q3 2028	Front-end memory products, excluding packaging	75.4	58.5%	44.1
Q3 2028	Advanced packaging products, excluding services	106.6	59.0%	62.9
Q3 2028	Services and software support	78.0	48.0%	37.4
Q4 2028	Front-end logic and other non-memory products, excluding packaging	210.0	61.5%	129.2
Q4 2028	Front-end memory products, excluding packaging	81.2	58.5%	47.5
Q4 2028	Advanced packaging products, excluding services	114.8	59.0%	67.7
Q4 2028	Services and software support	84.0	48.0%	40.3
Q1 2029	Front-end logic and other non-memory products, excluding packaging	198.0	62.0%	122.8
Q1 2029	Front-end memory products, excluding packaging	79.2	59.0%	46.7

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2029	Advanced packaging products, excluding services	107.8	59.5%	64.1
Q1 2029	Services and software support	77.0	49.0%	37.7
Q2 2029	Front-end logic and other non-memory products, excluding packaging	216.0	62.0%	133.9
Q2 2029	Front-end memory products, excluding packaging	86.4	59.0%	51.0
Q2 2029	Advanced packaging products, excluding services	117.6	59.5%	70.0
Q2 2029	Services and software support	84.0	49.0%	41.2
Q3 2029	Front-end logic and other non-memory products, excluding packaging	234.0	62.0%	145.1
Q3 2029	Front-end memory products, excluding packaging	93.6	59.0%	55.2
Q3 2029	Advanced packaging products, excluding services	127.4	59.5%	75.8
Q3 2029	Services and software support	91.0	49.0%	44.6
Q4 2029	Front-end logic and other non-memory products, excluding packaging	252.0	62.0%	156.2
Q4 2029	Front-end memory products, excluding packaging	100.8	59.0%	59.5
Q4 2029	Advanced packaging products, excluding services	137.2	59.5%	81.6
Q4 2029	Services and software support	98.0	49.0%	48.0
Q1 2030	Front-end logic and other non-memory products, excluding packaging	228.8	62.0%	141.9
Q1 2030	Front-end memory products, excluding packaging	92.4	59.0%	54.5
Q1 2030	Advanced packaging products, excluding services	129.8	59.5%	77.2
Q1 2030	Services and software support	88.0	49.0%	43.1
Q2 2030	Front-end logic and other non-memory products, excluding packaging	249.6	62.0%	154.8
Q2 2030	Front-end memory products, excluding packaging	100.8	59.0%	59.5
Q2 2030	Advanced packaging products, excluding services	141.6	59.5%	84.3
Q2 2030	Services and software support	96.0	49.0%	47.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2030	Front-end logic and other non-memory products, excluding packaging	270.4	62.0%	167.6
Q3 2030	Front-end memory products, excluding packaging	109.2	59.0%	64.4
Q3 2030	Advanced packaging products, excluding services	153.4	59.5%	91.3
Q3 2030	Services and software support	104.0	49.0%	51.0
Q4 2030	Front-end logic and other non-memory products, excluding packaging	291.2	62.0%	180.5
Q4 2030	Front-end memory products, excluding packaging	117.6	59.0%	69.4
Q4 2030	Advanced packaging products, excluding services	165.2	59.5%	98.3
Q4 2030	Services and software support	112.0	49.0%	54.9

Operating-cost derivation

Quarter	Research and development including stock compensation	Sales and administration including stock compensation and normal rent	Acquired intangible amortization
Q3 2026	42.2	29.3	2.5
Q4 2026	45.6	31.9	2.5
Q1 2027	51.3	36.2	2.5
Q2 2027	51.3	36.2	2.5
Q3 2027	51.3	36.2	2.5
Q4 2027	51.3	36.2	2.5
Q1 2028	62.7	45.3	2.0
Q2 2028	62.7	45.3	2.0
Q3 2028	62.7	45.3	2.0
Q4 2028	62.7	45.3	2.0
Q1 2029	73.4	53.4	2.0
Q2 2029	73.4	53.4	2.0
Q3 2029	73.4	53.4	2.0
Q4 2029	73.4	53.4	2.0
Q1 2030	85.5	62.5	2.0
Q2 2030	85.5	62.5	2.0
Q3 2030	85.5	62.5	2.0
Q4 2030	85.5	62.5	2.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	MATERIALS ATTACH	50%	0.0	0.0	0.0	0.0
Q3 2026	PACKAGING MATERIALS QUALIFICATION	35%	0.0	0.0	0.0	0.0
Q3 2026	NAND GREENFIELD	35%	0.0	0.0	0.0	0.0
Q3 2026	VALUE BASED NEW PRODUCTS	35%	0.0	0.0	0.0	0.0
Q3 2026	CHINA AND ACCEPTANCE RISK	25%	0.0	0.0	0.0	0.0
Q4 2026	MATERIALS ATTACH	50%	0.0	0.0	0.0	0.0
Q4 2026	PACKAGING MATERIALS QUALIFICATION	35%	0.0	0.0	0.0	0.0
Q4 2026	NAND GREENFIELD	35%	0.0	0.0	0.0	0.0
Q4 2026	VALUE BASED NEW PRODUCTS	35%	0.0	0.0	0.0	0.0
Q4 2026	CHINA AND ACCEPTANCE RISK	25%	0.0	0.0	0.0	0.0
Q1 2027	MATERIALS ATTACH	50%	8.8	5.5	1.6	2.0
Q1 2027	PACKAGING MATERIALS QUALIFICATION	35%	0.6	0.3	0.1	0.1
Q1 2027	NAND GREENFIELD	35%	4.4	2.6	0.8	0.6
Q1 2027	VALUE BASED NEW PRODUCTS	35%	0.7	0.6	0.1	0.2
Q1 2027	CHINA AND ACCEPTANCE RISK	25%	-19.9	-11.9	-2.4	-2.4
Q2 2027	MATERIALS ATTACH	50%	9.6	6.0	1.7	2.2
Q2 2027	PACKAGING MATERIALS QUALIFICATION	35%	0.6	0.4	0.1	0.1
Q2 2027	NAND GREENFIELD	35%	4.8	2.9	0.9	0.7
Q2 2027	VALUE BASED NEW PRODUCTS	35%	0.8	0.6	0.1	0.2
Q2 2027	CHINA AND ACCEPTANCE RISK	25%	-21.7	-13.0	-2.6	-2.6

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2027	MATERIALS ATTACH	50%	10.4	6.6	1.9	2.3
Q3 2027	PACKAGING MATERIALS QUALIFICATION	35%	0.7	0.4	0.1	0.1
Q3 2027	NAND GREENFIELD	35%	5.2	3.1	0.9	0.8
Q3 2027	VALUE BASED NEW PRODUCTS	35%	0.9	0.7	0.1	0.2
Q3 2027	CHINA AND ACCEPTANCE RISK	25%	-23.5	-14.1	-2.8	-2.8
Q4 2027	MATERIALS ATTACH	50%	11.2	7.1	2.0	2.5
Q4 2027	PACKAGING MATERIALS QUALIFICATION	35%	0.7	0.4	0.1	0.1
Q4 2027	NAND GREENFIELD	35%	5.6	3.4	1.0	0.8
Q4 2027	VALUE BASED NEW PRODUCTS	35%	1.0	0.7	0.1	0.2
Q4 2027	CHINA AND ACCEPTANCE RISK	25%	-25.3	-15.2	-3.0	-3.0
Q1 2028	MATERIALS ATTACH	50%	15.4	9.7	2.8	3.5
Q1 2028	PACKAGING MATERIALS QUALIFICATION	35%	3.9	2.4	0.8	0.6
Q1 2028	NAND GREENFIELD	35%	8.8	5.3	1.6	1.3
Q1 2028	VALUE BASED NEW PRODUCTS	35%	1.0	0.7	0.1	0.2
Q1 2028	CHINA AND ACCEPTANCE RISK	25%	-25.5	-15.3	-3.1	-3.1
Q2 2028	MATERIALS ATTACH	50%	16.8	10.6	3.0	3.8
Q2 2028	PACKAGING MATERIALS QUALIFICATION	35%	4.2	2.6	0.8	0.6
Q2 2028	NAND GREENFIELD	35%	9.6	5.8	1.7	1.4
Q2 2028	VALUE BASED NEW PRODUCTS	35%	1.1	0.8	0.1	0.2
Q2 2028	CHINA AND ACCEPTANCE RISK	25%	-27.8	-16.7	-3.3	-3.3
Q3 2028	MATERIALS ATTACH	50%	18.2	11.5	3.3	4.1

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2028	PACKAGING MATERIALS QUALIFICATION	35%	4.5	2.8	0.9	0.7
Q3 2028	NAND GREENFIELD	35%	10.4	6.2	1.9	1.5
Q3 2028	VALUE BASED NEW PRODUCTS	35%	1.2	0.9	0.1	0.3
Q3 2028	CHINA AND ACCEPTANCE RISK	25%	-30.2	-18.1	-3.6	-3.6
Q4 2028	MATERIALS ATTACH	50%	19.6	12.3	3.5	4.4
Q4 2028	PACKAGING MATERIALS QUALIFICATION	35%	4.9	3.0	1.0	0.7
Q4 2028	NAND GREENFIELD	35%	11.2	6.7	2.0	1.6
Q4 2028	VALUE BASED NEW PRODUCTS	35%	1.2	0.9	0.1	0.3
Q4 2028	CHINA AND ACCEPTANCE RISK	25%	-32.5	-19.5	-3.9	-3.9
Q1 2029	MATERIALS ATTACH	50%	19.8	12.5	3.6	4.5
Q1 2029	PACKAGING MATERIALS QUALIFICATION	35%	7.7	4.8	1.5	1.1
Q1 2029	NAND GREENFIELD	35%	12.1	7.3	2.2	1.8
Q1 2029	VALUE BASED NEW PRODUCTS	35%	1.2	0.9	0.1	0.3
Q1 2029	CHINA AND ACCEPTANCE RISK	25%	-30.8	-18.5	-3.7	-3.7
Q2 2029	MATERIALS ATTACH	50%	21.6	13.6	3.9	4.9
Q2 2029	PACKAGING MATERIALS QUALIFICATION	35%	8.4	5.2	1.7	1.2
Q2 2029	NAND GREENFIELD	35%	13.2	7.9	2.4	1.9
Q2 2029	VALUE BASED NEW PRODUCTS	35%	1.3	1.0	0.1	0.3
Q2 2029	CHINA AND ACCEPTANCE RISK	25%	-33.6	-20.2	-4.0	-4.0
Q3 2029	MATERIALS ATTACH	50%	23.4	14.7	4.2	5.3
Q3 2029	PACKAGING MATERIALS QUALIFICATION	35%	9.1	5.6	1.8	1.3

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2029	NAND GREENFIELD	35%	14.3	8.6	2.6	2.1
Q3 2029	VALUE BASED NEW PRODUCTS	35%	1.4	1.0	0.1	0.3
Q3 2029	CHINA AND ACCEPTANCE RISK	25%	-36.4	-21.8	-4.4	-4.4
Q4 2029	MATERIALS ATTACH	50%	25.2	15.9	4.5	5.7
Q4 2029	PACKAGING MATERIALS QUALIFICATION	35%	9.8	6.1	2.0	1.4
Q4 2029	NAND GREENFIELD	35%	15.4	9.2	2.8	2.3
Q4 2029	VALUE BASED NEW PRODUCTS	35%	1.5	1.1	0.2	0.3
Q4 2029	CHINA AND ACCEPTANCE RISK	25%	-39.2	-23.5	-4.7	-4.7
Q1 2030	MATERIALS ATTACH	50%	24.2	15.2	4.4	5.4
Q1 2030	PACKAGING MATERIALS QUALIFICATION	35%	11.0	6.8	2.2	1.6
Q1 2030	NAND GREENFIELD	35%	15.4	9.2	2.8	2.3
Q1 2030	VALUE BASED NEW PRODUCTS	35%	1.4	1.0	0.1	0.3
Q1 2030	CHINA AND ACCEPTANCE RISK	25%	-36.1	-21.6	-4.3	-4.3
Q2 2030	MATERIALS ATTACH	50%	26.4	16.6	4.8	5.9
Q2 2030	PACKAGING MATERIALS QUALIFICATION	35%	12.0	7.4	2.4	1.8
Q2 2030	NAND GREENFIELD	35%	16.8	10.1	3.0	2.5
Q2 2030	VALUE BASED NEW PRODUCTS	35%	1.5	1.1	0.2	0.3
Q2 2030	CHINA AND ACCEPTANCE RISK	25%	-39.4	-23.6	-4.7	-4.7
Q3 2030	MATERIALS ATTACH	50%	28.6	18.0	5.1	6.4
Q3 2030	PACKAGING MATERIALS QUALIFICATION	35%	13.0	8.1	2.6	1.9
Q3 2030	NAND GREENFIELD	35%	18.2	10.9	3.3	2.7
Q3 2030	VALUE BASED NEW PRODUCTS	35%	1.6	1.2	0.2	0.4

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2030	CHINA AND ACCEPTANCE RISK	25%	-42.6	-25.6	-5.1	-5.1
Q4 2030	MATERIALS ATTACH	50%	30.8	19.4	5.5	6.9
Q4 2030	PACKAGING MATERIALS QUALIFICATION	35%	14.0	8.7	2.8	2.1
Q4 2030	NAND GREENFIELD	35%	19.6	11.8	3.5	2.9
Q4 2030	VALUE BASED NEW PRODUCTS	35%	1.8	1.3	0.2	0.4
Q4 2030	CHINA AND ACCEPTANCE RISK	25%	-45.9	-27.6	-5.5	-5.5

Enterprise-to-equity reconciliation

20x fully expensed forward-four-quarter operating profit, adjusted for cash and debt, with matched convertible settlement and end-window diluted shares. Cash and claims use the dated verified balance rather than future cash accumulation. Conversion is a conservative intrinsic dilution bound, not a claim that an early-conversion trigger or issuer settlement election has already occurred. Workbook probability controls hold active claims and shares fixed; any adopted revision requires resolving conversion and liquidity again.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	-752.5	0.0	-752.5	252.38
Q4 2026	Q3 2027	-752.5	0.0	-752.5	270.22
Q1 2027	Q4 2027	-752.5	0.0	-752.5	290.68
Q2 2027	Q1 2028	-752.5	0.0	-752.5	309.77
Q3 2027	Q2 2028	-1,502.5	0.0	-1,502.5	330.91
Q4 2027	Q3 2028	-1,502.5	0.0	-1,502.5	354.00
Q1 2028	Q4 2028	-1,502.5	0.0	-1,502.5	379.71
Q2 2028	Q1 2029	-1,502.5	0.0	-1,502.5	396.53
Q3 2028	Q2 2029	-1,502.5	0.0	-1,502.5	415.85
Q4 2028	Q3 2029	-1,502.5	0.0	-1,502.5	437.66
Q1 2029	Q4 2029	-1,502.5	0.0	-1,502.5	461.95
Q2 2029	Q1 2030	-1,502.5	0.0	-1,502.5	475.78
Q3 2029	Q2 2030	-1,502.5	0.0	-1,502.5	491.98
Q4 2029	Q3 2030	-1,502.5	0.0	-1,502.5	510.55
Q1 2030	Q4 2030	-1,502.5	0.0	-1,502.5	531.47

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

MATERIALS_ATTACH

probability: 0.5

Conditional: CY2027-30 gross additional Metrion/Elipson application revenue $80/140/180/220m; retain 50% after reference growth and existing qualification overlap.

bounds: Probability 30-65%; retained fraction 30-70%; 2027 gross $40-120m.

overlap: The reference already incorporates existing tool-of-record positions, GAA capacity expansion and repeat business. The branch is additional applications per qualified customer; no separate GAA TAM addition.

bridge: 63% incremental gross margin minus 18% continuing engineering and field support gives 45% OP.

source: May 14 and August 6 earnings calls; September 8 CFO conference.

PACKAGING_MATERIALS_QUALIFICATION

probability: 0.35

Conditional: Gross new packaging-materials and hybrid-bonding applications $5/35/70/100m in CY2027-30; retain 50% after optical/chemical baseline overlap.

bounds: Probability 20-50%; 2027 gross $0-10m; 2028 gross $15-60m.

overlap: Existing packaging revenue is mostly dimensional and chemical. Early material-metrology discussions and later hybrid bonding are not treated as a second full packaging market.

bridge: 62% GP less 20% qualification and service operating costs leaves 42% OP.

source: September 8 CFO: hybrid-bonding capacity is not a major 2027 contribution; qualifications precede later volume.

NAND_GREENFIELD

probability: 0.35

Conditional: Gross new capacity-related sales $40/80/110/140m CY2027-30, less 50% overlap with the memory reference.

bounds: Probability 15-55%; 2027 gross $0-80m.

overlap: Current NAND upgrade spending is not assumed to benefit Nova. Existing DRAM capacity is already in reference revenue; no broad memory capex share conversion.

bridge: 60% GP less 18% operating costs gives 42% OP.

source: May, August and September management remarks distinguish greenfield capacity from NAND upgrades.

VALUE_BASED_NEW_PRODUCTS

probability: 0.35

Conditional: 3% premium on 20% of product sales including probability-weighted incremental volumes, retaining 50% after baseline mix. Reference products lost or deferred in the adverse state are removed from pricing eligibility before computing the premium.

bounds: Probability 20-50%; premium 0-5%; eligible share 10-30%.

overlap: Existing customer terms and backlog are not repriced. The premium is new product capability; baseline utilization gains are not added twice.

bridge: 75% GP less 10% operating support = 65% OP contribution, allowing component and labor cost inflation.

source: September 8 CFO explicitly linked ASP gains to value, while confirming no change to customer terms or lead times.

CHINA_AND_ACCEPTANCE_RISK

probability: 0.25

Conditional: 8% of reference product sales are lost or shifted beyond the modeled calendar year.

bounds: Probability 15-40%; revenue loss 4-15% of product sales.

overlap: One combined export, customer-construction and acceptance branch; it does not also remove the same revenue in a separate macro haircut.

bridge: 60% lost GP less 12% avoidable expense gives 48% negative OP.

source: Annual report risk factors, customer concentration and September discussion of improving Chinese competitors.

Remaining bounded uncertainties

- No disclosed product ASPs, shipment units or gross margins by product group. Revenue buckets and incremental application values are explicit bounded model proxies.

- Latest verified point common count is February 5, 2026. June basic and diluted weighted averages support the dilution reserve but are not a precise October register. No prospective buyback benefit is assumed.

- Q3 results were not reported as of October 11. Hybrid-bonding high-volume expansion is mainly beyond 2027; material-metrology packaging discussions are earlier than current optical/chemical wins.

- June cash excludes the separate $11.747m mixed bank/restricted-deposit line. Pension/severance reserve $4m is a labeled bound above December net $2.720m and H1 accrual, pending a new full note.

- The issuer can choose conversion settlement. The active model uses debt at values below strike and the conservative matched all-share case above strike; cash-principal/premium-share settlement yields the same intrinsic ceiling when solved consistently. Capped-call value is excluded.

- Sensitivity values holding active debt/share choices fixed are operating sensitivities, not complete financing counterfactuals; each changed multiple or earnings case requires resolving the conversion branch.

- Before June15,2030 contractual conversion is conditional, including a130% stock-price test or other specified events. Intrinsic dilution above the strike is reserved conservatively regardless of whether that early-conversion trigger is currently met.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Annual | 2026-02-17 | https://www.novami.com/wp-content/uploads/2026/02/nova-2025-form-20-f-accessible.pdf | Archived SHA-256: 7d1bd6867bd07593d359ffa6dd28cc4b38a2a4f5139c144357f08bdced3d67a4

[2] February deck | 2026-02 | https://www.novami.com/wp-content/uploads/2026/02/nova-investor-presenation-q42025-final-1.pdf | Archived SHA-256: e657e67a81179f982cfb4724da77d85aabc262a91ed18be3b037ed6fdf873427

[3] Q1 release | 2026-05-14 | https://www.novami.com/wp-content/uploads/2026/05/pr-q1-2026-golden-vf-may-13.pdf | Archived SHA-256: 352655243b540c5fd331b8ce840adb12567842561f43cdfcd75d3ae039e08649

[4] Q2 release | 2026-08-06 | https://www.novami.com/wp-content/uploads/2026/08/nova-q2-2026-financial-results-20260806.pdf | Archived SHA-256: 7857b0edb47b5665279dea3a541403acc34b3e975b774539006e8bdf5fe9317c

[5] Q1 management call | 2026-05-14 | https://stockanalysis.com/stocks/nvmi/transcripts/555847-q1-2026/

[6] Q2 management call | 2026-08-06 | https://stockanalysis.com/stocks/nvmi/transcripts/669145-q2-2026/

[7] September management conference | 2026-09-08 | https://stockanalysis.com/stocks/nvmi/transcripts/731454-citi-s-2026-global-tmt-conference/